UiPath: how the investment judgment changed

Edition B | Stefan Herning | October 19, 2026 | Current analysis first; unchanged Edition A follows

From initial buy to do not initiate

Current committee ask: retain zero exposure and monitor for 12-18 months, or four to six earnings reports. The fund has no existing position. The student's Hold/Sell view therefore translates into do not initiate, rather than an instruction to sell shares the fund does not own.

Edition A records INITIATE / BUY, supported by demand for the platform and the opportunity in AI agents. The student confirms that the exact supplied file was submitted September 1 at 2:40 p.m. Its original blanks and post-receipt label remain unchanged in the appended baseline; the receipt itself has not been independently inspected. Those blanks are historical evidence, not unfinished fields in this current analysis.

The consequential change is the student's concern that agents could replace existing robot licenses rather than add profitable revenue. Microsoft, ServiceNow and model-provider competition could constrain pricing; inference and implementation costs could reduce margins; consumption billing could weaken advance collections. These are risks to test, not established findings that cannibalization has occurred.

What changed, and what supports it?

Item	Original Edition A	Current Edition B	Driver and supporting evidence
Recommendation	Initiate / buy	Do not initiate at the frozen $13.03 quote	Student judgment; operating DCF cases remain below price
Thesis	Platform scale and AI-agent opportunity	Incremental, profitable agent revenue must be demonstrated	Student's competitive, margin and cash-collection concerns
Assumptions and uncertainty	Material template sections unfilled	Explicit operating cases, limitations and reversal conditions	Later labs, peer challenges, student approval and disclosed AI implementation; missing initial reasoning is not reconstructed

Later lab work is separate from Edition A. Lab 10 used a path toward 59% SG&A/gross profit; the student now approves **65% to 63% in base**, **65% in downside**, and **59% only in upside**. This expresses skepticism about selling-cost efficiency. Anika Rao is credited for the recorded Apple exchange and associated feedback about dilution and reversal evidence. The separate Lab 10 SG&A challenger is not identified as Anika.

The final model also replaces separate teaching-model outputs with five linked rolling-year statements and FCFF discounted at WACC. This architecture follows the assignment and was implemented with Codex assistance. It is not represented as the student's original pre-AI design. July reported balances proxy October opening balances; reporting lag is disclosed rather than relabeled as current financial data.

Consequential check: the student's independent test

With AI closed, the student changed the gross-margin path from **82 / 81 / 80.5 / 80 / 80%** to **79 / 78.5 / 78 / 77.5 / 77%**. Before execution, he predicted lower value because the business would retain less per dollar of revenue, and expected the bearish decision to remain.

The prediction was committed at **5:28:24 p.m. EDT**, before execution. Estimated value fell from **$4.49 to $4.03 per share**, a **10.37% decrease**. The student correctly reported approximately 10.4% and retained do not initiate. The original prediction, outputs, reconciliation and Git history are preserved in the validation record. This verifies sensitivity to the selected margin change; it does not prove that margins will decline or that the forecasts are correct.

AI output checked and rejected

The Lab 08 record identifies Gemini's annual diluted EPS claims of **$0.15 for PATH** and **$1.42 for PEGA**. The companies' annual releases instead report **$0.52 and $2.13**. Those AI figures were rejected; the final reported-P/E cross-check uses the company figures consistently. Annual earnings still contain tax effects, so correcting the numbers does not make P/E a clean measure of recurring profit.

Evidence: UiPath annual release, annual diluted EPS; PEGA annual release, annual diluted EPS. The original discrepancy is retained in `legacy/lab08-uipath-comps.md`. Historical lab checks and Codex's later source verification are distinguished in the AI-use record; no additional personal verification is invented.

A separate integrity check reconciles July assets of $2,907.367m to liabilities of $958.816m plus equity of $1,948.551m. Forecast cash is derived from cash flows, and deliberately corrupted cash/FCFF blocks valuation. Balanced statements support calculation integrity, not the realism of the business assumptions.

Current valuation, disagreement and reversal evidence

The operating DCF range is **$2.68-$6.11**, with a **$4.49 base**, versus **$13.03 at 11:15 a.m. EDT on October 19**. This is a frozen intraday snapshot, not a live quote at recording time. PEGA's EV/revenue reference implies **$12.75** and its reported-P/E reference **$8.39**. The sales reference is counterevidence to claiming every method shows overvaluation. The methods are not averaged; the recommendation depends on the student's conservative view of sustainable operating cash profitability.

Reconsider the forecast if ARR growth exceeds 12% for two quarters, retention reaches 110%, agentic ARR is demonstrably incremental, GAAP gross margin stabilizes near 81%, and sales/marketing grows slower than gross profit. Retention below 105% for two quarters strengthens the downside. Thresholds prompt a new forecast and valuation; none automatically authorizes a purchase.

The main limitations are the assumed 11% WACC, approximately 79% terminal share of base enterprise value, lagged opening balances, basic fixed shares with an economic SBC-cost approximation, and one-peer evidence. All current operating cases preserve non-initiation; the downside test did not reverse the action. These qualifications constrain confidence in precise endpoints.

What changed and why: the investment question moved from whether UiPath can participate in agentic automation to whether it can do so incrementally and profitably. The student owns that judgment and the independent margin test; Codex assisted implementation, checks, writing and presentation preparation. Complete disclosure and original test evidence are in the validation record.

Investment Committee Valuation - Edition A

Status: Post-receipt working copy

Original Edition A receipt ID: [ENTER RECEIPT / ATTEMPT ID]

Original submission timestamp: [ENTER TIMESTAMP AND TIME ZONE]

Important: Do not overwrite or resubmit the frozen Edition A file. Record all subsequent work in this separate document.

1. Recommendation Snapshot

Item	Your entry
Company	`UiPath, Inc.
Ticker	PATH
Valuation date	2026-09-01`
Intended user	INVESTMENT COMMITTEE
Initial thesis	INITIATE
Proposed action	BUY
One-sentence rationale	Strong product in-demand, shifting towards current market demand with development of AI agents, would benefit from platform and scale`

2. Primary Filing Record

Use the company's current primary filing. Enter each fact exactly as reported and retain a direct SEC filing link plus a precise page, note, or table locator.

Required field	Filing evidence	Source locator
Entity/legal registrant	UiPath, Inc. (Delaware; CIK 0001734722; NYSE: PATH, Class A common)`	[SEC URL, PAGE/SECTION]
Filing type	10-K	[ENTER]
Accession number	[0001734722-26-000012	[ENTER]
Reporting period	FY2026: 2/1/2025 to 1/31/2026	[ENTER]
Filing date	[March 24, 2026]	[ENTER]
Currency	[USD]	[ENTER]
Presentation units	[Thousands]	[ENTER]

Required field	Filing evidence	Source locator
Diluted-share evidence	[544,860 (thousands) weighted-average diluted share; basic 538,125+6,735 dilutive potential shares from equity awards]	[ENTER]
Diluted-share convention	[WEIGHTED-AVERAGE, treasury-stock method]	[ENTER]
Cash	Cash and cash equivalents $871,157K (original maturities <= 3 months); restricted cash $438K; marketable securities $601,329K current + $216,990K non-current	[ENTER]
Debt	$0. No borrowings, notes, converts, or credit facility. Closest analog: operating lease liabilities $81,246K ($10,306K current, sitting inside accrued expenses; $70,940K non-current)	[ENTER]
Operating-value driver	`ARR $1,852,567K at 1/31/2026, +11% YoY	[ENTER]

Evidence-quality notes

• **Unit consistency:** [CONFIRM THAT ALL AMOUNTS USE THE SAME CURRENCY AND SCALE]

• **Cash definition:** [EXPLAIN WHETHER CASH EQUIVALENTS, RESTRICTED CASH, OR INVESTMENTS ARE INCLUDED]

• **Debt definition:** [EXPLAIN WHICH SHORT- AND LONG-TERM OBLIGATIONS ARE INCLUDED]

• **Share-count choice:** [EXPLAIN WHY THE SELECTED SHARE FIGURE MATCHES THE VALUATION PURPOSE]

• **Potential comparability issue:** [ENTER OR WRITE NONE IDENTIFIED]

3. Synthetic Enterprise-to-Equity Bridge

Use only the synthetic figures supplied in class for this required check. Do not substitute the target company's figures unless separately instructed.

Bridge component	Amount	Sign	Explanation
Enterprise value	[ENTER]	+	Starting operating-asset value
Cash and permitted cash-like items	[ENTER]	+	[STATE THE CLASS CONVENTION]
Debt and debt-like claims	[ENTER]	-	[STATE THE CLASS CONVENTION]
Other required adjustment	[ENTER OR N/A]	[+/-]	[EXPLAIN]
Implied equity value	[CALCULATE]		

Show your calculation:

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Equity value = Enterprise value + Cash − Debt ± Other adjustments
Equity value = [SHOW YOUR SUBSTITUTION]
Equity value = [YOUR ANSWER]
```

If the class exercise asks for per-share value:

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Equity value per diluted share = Equity value ÷ Diluted shares
Equity value per diluted share = [SHOW YOUR SUBSTITUTION]
Equity value per diluted share = [YOUR ANSWER]
```

4. Initial Investment Thesis

Decision and user

[In your own words, state the decision being made, who will use the analysis, and the relevant investment horizon or mandate.]

Thesis

[Explain why you selected initiate, watch-defer, or do not initiate. Separate facts from interpretation.]

Known evidence

Evidence	Why it matters	Source and precise locator
[FACT 1]	[YOUR INTERPRETATION]	[PRIMARY SOURCE]
[FACT 2]	[YOUR INTERPRETATION]	[PRIMARY SOURCE]
[FACT 3]	[YOUR INTERPRETATION]	[PRIMARY SOURCE]

5. Consequential Assumptions

List assumptions that could materially change the decision. Do not disguise assumptions as reported facts.

Assumption	Current rationale	Directional valuation effect if wrong	Validation method
[ASSUMPTION 1]	[ENTER]	[HIGHER / LOWER / UNCLEAR]	[ENTER]
[ASSUMPTION 2]	[ENTER]	[HIGHER / LOWER / UNCLEAR]	[ENTER]
[ASSUMPTION 3]	[ENTER]	[HIGHER / LOWER / UNCLEAR]	[ENTER]

6. Unknowns and Information Gaps

Unknown	Why it could change the decision	Evidence needed	Priority
[UNKNOWN 1]	[ENTER]	[ENTER]	[HIGH/MEDIUM/LOW]
[UNKNOWN 2]	[ENTER]	[ENTER]	[HIGH/MEDIUM/LOW]
[UNKNOWN 3]	[ENTER]	[ENTER]	[HIGH/MEDIUM/LOW]

7. Research Plan

Sequence	Research action	Preferred source	Completion test
1	[FIRST ACTION]	[PRIMARY SOURCE]	[WHAT WILL COUNT AS ANSWERED?]
2	[SECOND ACTION]	[PRIMARY SOURCE]	[ENTER]
3	[THIRD ACTION]	[PRIMARY SOURCE]	[ENTER]

8. Partner-Generated Falsification Question

Partner's question: [RECORD THE PARTNER'S QUESTION VERBATIM. THE PARTNER MUST NOT WRITE YOUR ANSWER.]

Why the question matters: [Explain in your own words which thesis claim it challenges and what evidence would make you change your decision.]

Your answer or planned test: [WRITE YOUR OWN RESPONSE OR IDENTIFY THE EVIDENCE NEEDED. Do not ask the partner to write it.]

9. Risks and Decision Triggers

Risk or catalyst	Supporting evidence	Observable trigger	Expected decision impact
[ENTER]	[ENTER]	[ENTER]	[ENTER]
[ENTER]	[ENTER]	[ENTER]	[ENTER]

10. Source Register

Source	Publication/filing date	Access date	Evidence used
[SEC FILING URL]	[DATE]	[DATE]	[ENTER]
[OTHER ALLOWED SOURCE]	[DATE]	[DATE]	[ENTER]

11. Process and AI-Use Disclosure

• **Non-generative tools and sources used before the Edition A receipt:** [LIST EDGAR, DATABASES, SPREADSHEETS, CALCULATORS, ETC.]

• **Generative-AI use before receipt:** [DISCLOSE ACCURATELY]

• **Edition A receipt verified before post-receipt AI assistance:** [YES; ENTER RECEIPT ID AND TIMESTAMP]

• **Post-receipt assistance used:** [DESCRIBE THE ASSISTANCE ACCURATELY]

• **Independent verification performed:** [LIST EVERY AI-SUGGESTED FACT OR CALCULATION YOU CHECKED YOURSELF]

• **Final responsibility:** I remain responsible for every source, number, convention, calculation, and recommendation in this document.

12. Personal Growth Note

[In two or three sentences: What can you do now that you could not do before this lab? What still feels shaky?]

Final Quality-Control Checklist

• [ ] The original Edition A file remains unchanged.

• [ ] Receipt ID and timestamp are recorded accurately.

• [ ] Every financial figure is traceable to a filing page, section, note, or table.

• [ ] Currency and units are explicit and consistent.

• [ ] Cash, debt, and diluted-share conventions are defined.

• [ ] The synthetic bridge shows the formula, substitution, and answer.

• [ ] Facts, assumptions, interpretations, and unknowns are clearly separated.

• [ ] The thesis identifies a user, action, and valuation date.

• [ ] The falsification question came from a partner; the response is my own.

• [ ] AI use and non-AI tools are disclosed accurately.

• [ ] I independently checked all material calculations and claims.